Country Report

Argentina

Argentina at a glance: 2005-06

OVERVIEW

The president, Néstor Kirchner of the Partido Justicialista (PJ, or Peronists), will continue to emphasise his government's departure from the free-market orthodox policies of the 1990s. Mr Kirchner will attempt to increase his level of control over the PJ in preparation for a legislative election in October. There will be a more active role for the state in the economy. Following the successful completion of the debt swap, the government hopes to draw a line under the default and normalise relations with foreign creditors. Argentina will seek an IMF agreement that allows it to refinance the majority of its upcoming repayments. The government will run a primary surplus of over 3% of GDP in the forecast period. Growth will slow from the high rates recorded in 2003-04 during 2005-06, as spare capacity is limited and the rebound of consumption from the country's post-crisis lows slackens. The trade and current account surpluses will narrow, as imports continue to grow strongly.

Key changes from last month

Political outlook

- The successful outcome of the debt swap will deliver a boost to the government's popularity, ahead the legislative election in October.

Economic policy outlook

- The participation rate in the government's offer to holders of US$100bn in external debt and arrears reached 76%. This relatively successful outcome raises the chances of Argentina achieving an agreement with the IMF, and of normalising its relations with international capital markets.

Economic forecast

- The Economist Intelligence Unit has raised its growth forecast in 2006, based on an improvement in the outlook for investment growth.

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The Economist Intelligence Unit

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Argentina

March 2005

Summary

Outlook for 2005-06 The president, Néstor Kirchner of the Partido Justicialista (PJ, or Peronists), will continue to emphasise his government's departure from the free-market orthodox policies of the 1990s. Mr Kirchner will attempt to increase his level of control over the PJ in preparation for a legislative election in October. Argentina will seek an IMF agreement that will allow it to refinance the majority of its upcoming repayments. The government will run a primary surplus of over 3% of GDP in the forecast period. During 2005-06 growth will moderate from the high rates recorded in 2003-04, as spare capacity is limited and the rebound of consumption from the country's post-crisis lows slackens. The trade and current account-surpluses will narrow, as imports continue to grow.

The political scene Congress approved a one-year renewal of special executive powers at the end of 2004. The risks of in-fighting within the ruling PJ have been illustrated by a dispute between two factions in the province of Buenos Aires, in which Mr Kirchner was forced to intervene. The opposition has remained weak. Congress has taken steps towards removing the last remaining member of the Supreme Court appointed by the former president, Carlos Menem.

Economic policy The public finances have improved markedly, reflecting mainly strong growth in tax revenue. Buoyant tax collections have allowed the government to adopt a number of measures aimed at stimulating consumption. The government's debt swap closed in late February with a 76% participation rate. The Central Bank has taken steps to strengthen the repo market as a tool of monetary policy.

The domestic economy In the third quarter of 2004 real output growth accelerated to 2.9% quarter on quarter and by 8.3% year on year, based on strong growth in consumption and investment. The gap in growth rates between goods-producing and services sectors has narrowed. Unemployment has fallen. The annual rate of inflation continued to rise in the fourth quarter of 2004 and the beginning of 2005. Bank liquidity has increased, and lending to the private sector has risen by about 25%. Agricultural output fell year on year in January-September, but is poised to increase in 2005. Industrial output growth has slowed.

Foreign trade and payments Higher prices boosted exports in 2004. Industrial manufactures were the fastest-growing category of export earnings during 2004. Import volumes have grown strongly. The current-account surplus has narrowed as a result. Net outflows from the private sector have fallen, and foreign direct investment has risen.

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Political structure

Official name	Republic of Argentina
Form of state	Federal republic
The executive	The president is head of state and commander-in-chief of the armed forces; elected for a four-year term; can be re-elected for one consecutive term; the president appoints a cabinet and a chief of cabinet, who can be removed by a majority vote in each chamber
National legislature	Bicameral Congress: 255-member Chamber of Deputies, directly elected for a four-year term; one-half of the lower house stands for re-election every two years; 71-member Senate; directly elected for a six-year term; three senators are elected per state, two from the leading party and one from the runner-up; one-third of the Senate stands for re-election every two years
Regional legislatures	23 states and an autonomous federal district; states and the federal district retain those powers not vested in the national government and elect state legislators, governors and local officials
Legal system	Federal judges appointed by a Council of Magistrates; Supreme Court system both nationally and in the provinces; national Supreme Court members require the endorsement of two-thirds of the Senate
National elections	One-third of the Senate and half of the Chamber of Deputies are due to be elected in October 2005. Next presidential election due in 2007
National government	The president is currently Néstor Kirchner of the Partido Justicialista (PJ, or Peronists), who was sworn in as president on May 25th 2003
Main political organisations	Government: Partido Justicialista Main opposition: Unión Cívica Radical (UCR), Frente del País Solidario (Frepaso); other minor parties include Afirmación para una República Igualitaria (ARI), Movimiento Federal Recrear (MFR) and several provincial parties

	President	Néstor Kirchner (PJ)
Key ministers	**Cabinet chief**	Alberto Fernández
	Defence	José Pampuro
	Economy & production	Roberto Lavagna
	Education	Daniel Filmus
	Foreign affairs & worship	Rafael Bielsa
	Health	Ginés González García
	Interior	Aníbal Fernández
	Justice	Horacio Rosatti
	Labour	Carlos Tomada
	Social development & the environment	Alicia Kirchner
Central Bank president	Martín Redrado	

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Economic structure

Annual indicators

	2000[a]	2001[a]	2002[a]	2003[a]	2004[b]
GDP at market prices (Ps bn)	284.2	268.7	312.6	375.9	426.9
GDP (US$ bn)	284.3	268.8	102.0	129.6	146.0
Real GDP growth (%)	-0.8	-4.4	-10.9	8.8	8.8
Consumer price inflation (av; %)	-0.9	-1.1	25.9	13.4	4.4[a]
Population (m)	37.0	37.4[b]	37.8[b]	38.2[b]	38.7
Exports of goods fob (US$ bn)	26.3	26.5	25.7	29.6	34.4
Imports of goods fob (US$ bn)	23.9	19.2	8.5	13.1	21.1
Current-account balance (US$ bn)	-9.0	-3.9	9.1	7.8	3.2
Foreign-exchange reserves excl gold (US$ bn)	25.1	14.6	10.5	14.2	18.9[a]
Total external debt (US$ bn)	145.9	136.7	132.3	145.7[b]	164.4
Debt-service ratio, paid (%)	70.8	66.0	18.2	42.3[b]	31.7
Exchange rate (av) Ps:US$	0.999	0.999	3.063	2.901	2.923[a]

[a] Actual. [b] Economist Intelligence Unit estimates.

Origins of gross domestic product 2003	% of total	Components of gross domestic product 2003	% of total
Agriculture, forestry & fishing	11.0	Private consumption	63.2
Mining	5.8	Government consumption	11.4
Manufacturing	24.0	Investment	15.1
Construction	3.3	Stockbuilding	-0.5
Electricity & water	1.7	Exports of goods & services	25.0
Commerce	54.1	Imports of goods & services	-14.2

Principal exports fob 2004	US$ m	Principal imports cif 2004	US$ m
Processed agricultural products	11,932	Intermediate goods	8,630
Manufactures	9,522	Capital goods	5,378
Primary	6,828	Consumer goods	2,501
Fuel and energy	6,171	Fuels	1,003

Main destinations of exports 2003	% of total	Main origins of imports 2003	% of total
Brazil	20.8	Brazil	22.1
Chile	11.7	US	19.4
US	10.6	Germany	5.8
China	8.4	Italy	3.9

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Quarterly indicators

	2003				2004			
	1 Qtr	2 Qtr	3 Qtr	4 Qtr	1 Qtr	2 Qtr	3 Qtr	4 Qtr
Non-financial public sector finance (Ps m)								
Revenue excl privatisation	16,311	20,444	19,624	20,836	22,693	30,188	26,603	25,542
Expenditure	16,509	18,822	19,241	20,837	20,317	23,521	23,232	26,507
Interest payments	1,986	1,521	1,842	1,534	1,614	1,190	1,611	1,288
Balance	-198	1,622	382	-1	2,376	6,667	3,371	-965
Output								
GDP at constant 1993 prices (annual rates; Ps bn)	228.6	265.4	261.5	268.6	254.3	284.4	283.2	n/a
% change, year on year	5.4	7.7	10.2	11.7	11.3	7.2	8.3	n/a
Manufacturing at constant 1993 prices (annual rates; Ps m)	36,841	40,647	44,771	45,550	42,655	46,242	49,016	n/a
Manufacturing (% change, year on year)	18.4	12.6	16.2	16.9	15.8	13.8	9.5	n/a
Industrial production index (seasonally adjusted; 1997=100)	83.6	89.1	95.9	97.3	95.3	98.4	105.7	105.6
% change, year on year	20.0	14.8	15.7	14.7	14.0	10.5	10.2	8.5
Prices								
Consumer prices (1999=100)	140.2	140.7	141.1	142.3	143.6	146.4	148.7	150.5
Consumer prices (% change, year on year)	35.7	14.5	5.2	3.7	2.4	4.1	5.4	5.7
Producer prices (1993=100)	216.8	210.6	211.4	218.2	223.7	228.8	234.2	236.5
Producer prices (% change, year on year)	87.5	21.6	0.7	0.3	3.2	8.6	10.8	8.4
Financial indicators								
Exchange rate Ps:US$ (av)	3.1	2.8	2.8	2.9	2.9	2.9	3.0	2.9
Exchange rate Ps:US$ (end-period)	2.9	2.8	2.9	2.9	2.8	2.9	3.0	3.0
Deposit rate (av; %)	18.3	13.9	4.6	3.9	2.4	2.3	2.7	3.0
Lending rate (av; %)	27.6	24.3	13.9	10.8	9.1	6.3	5.9	5.8
Money market rate (av; %)	6.8	4.8	1.8	1.6	1.3	2.2	2.1	2.3
M1 (end-period; Ps m)	28,257	32,404	35,819	42,940	45,647	48,192	47,159	n/a
M1 (% change, year on year)	22.8	37.9	51.2	51.9	61.5	48.7	32.7	n/a
M2 (end-period; Ps m)	91,469	99,684	105,678	113,164	118,432	125,055	127,569	n/a
M2 (% change, year on year)	11.3	25.0	26.1	29.6	29.5	25.5	20.7	n/a
Merval stockmarket index (end-period; Jun 30th 1986=US$0.01)	566.5	765.6	827.7	1,072.0	1,201.7	945.5	1,142.5	1,375.4
Merval stockmarket index (% change, year on year)	29.9	118.3	109.4	104.2	112.1	23.5	38.0	28.3
Sectoral trends								
ISAC construction activity index (seasonally adjusted; 1997=100)	71.0	77.5	80.9	88.2	94.1	94.7	95.2	97.7
% change, year on year	35.3	38.6	38.7	38.5	32.5	22.3	17.7	10.8
Crude oil production (m barrels/day)	0.78	0.79	0.79	0.77	0.78	0.77	0.78	0.77
Crude oil production (% change, year on year)	-3.7	-2.5	-1.3	-2.5	0.0	-2.5	-1.3	0.0
Foreign trade (US$ m)								
Exports fob	6,556	8,124	7,550	7,335	7,353	9,347	8,911	8,842
Imports cif	-2,502	-3,336	-3,712	-4,284	-4,637	-5,443	-5,990	-6,252
Trade balance	4,054	4,788	3,838	3,051	2,716	3,904	2,921	2,590
Balance of payments (US$ m)								
Merchandise trade balance fob-fob	4,188	4,968	4,028	3,266	2,937	4,186	3,234	n/a
Services balance	-457	-364	-462	-281	-552	-464	-541	n/a
Income balance	-1,918	-1,902	-2,169	-2,103	-2,156	-2,273	-2,308	n/a
Net transfer payments	131	165	146	155	147	199	149	n/a
Current-account balance	1,944	2,867	1,543	1,037	377	1,649	533	n/a
Reserves excl gold (end-period)	10,539	12,183	13,430	14,153	14,627	16,926	17,501	18,884

Sources: Ministerio de Economía; IEA, *Monthly Oil Market Report*; IMF, *International Financial Statistics*; Instituto Nacional de Estadística y Censos.

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Outlook for 2005-06

Political outlook

Domestic politics

Ideologically, the administration of the president, Néstor Kirchner, marks a break with the pro-market government policies of the 1990s, which a majority of Argentinian voters blames for the economic collapse and maxi-devaluation of 2001-02. Mr Kirchner's administration will prioritise growth and social policies over cultivating relations with foreign investors. The president has benefited from Argentina's rapid economic growth ever since he took office, and the government's success in achieving a debt reduction of historic proportions will boost his prestige in the short term. A populist touch has kept the president's approval rating high, while his ruling Partido Justicialista (PJ, or Peronist party) has a commanding position in both houses of Congress. It holds 41 of the 71 seats in the Senate and 116 of the 255 seats in the Chamber of Deputies (the lower house), as well as most of the provincial governorships. None of the opposition parties has a national organisation to rival the PJ, leaving the Peronists as the dominant political force over the forecast period.

Although strong in numbers, the Peronists are fragmented and dominated by powerful regional leaders. The main fault line in the PJ will remain that between Mr Kirchner and the former interim president, Eduardo Duhalde (2002-03). Mr Duhalde will remain the leader of the PJ machinery in the province of Buenos Aires, a strong influence over Peronist provincial governors, and a defender of the interests of his economically dominant region. Mr Duhalde, who has ruled himself out from standing in future presidential elections, will be keen to protect his reputation as a former president, while Mr Kirchner will need to avoid a clash with Mr Duhalde to ensure the backing of *duhaldistas* in Congress. It is therefore in the interests of both to co-operate. However, the electoral contest in October for one-third of the Senate seats, including all three seats representing Buenos Aires province, has the potential to increase tensions between the two men, especially if Mr Kirchner uses the opportunity to impose favoured candidates in the place of allies of Mr Duhalde.

In a election due to be held on October 23rd voters will renew one-third of the Senate and one-half of the Chamber of Deputies. This will be the first major electoral test of Mr Kirchner's administration. The opposition parties will remain extremely weak, although they will score a few successes in some regions. The main centre of support for anti-Peronist parties is the city of Buenos Aires, which will elect 13 deputies in 2005, but no senators. Although there has been talk of an electoral alliance between the two main centre-right opposition parties—Compromiso por el Cambio, led by Mauricio Macri, and Recrear, led by Ricardo López Murphy—no concrete steps have yet been taken. Mr Kirchner is likely to have more problems with factions in his own party.

The relationship between the federal government and the provinces will remain difficult to handle. Because Peronist congressional candidates are selected at provincial level, provincial governors play a large part in the process and retain influence over congressmen representing their region. The president

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needs their support in order to pass legislation, but the government's comfortable fiscal position will tilt the balance in his favour in the short term.

International relations

Despite his nationalist rhetoric, Mr Kirchner will strive to maintain good relations with the US government. He will maintain friendly relations with centre-left governments elsewhere in Latin America. The tenor of relations with the EU will depend on how much progress is made in renegotiating contracts with privatised utilities (most of which are in European hands), and on reaching a settlement with bondholders. As part of the Mercado Común del Sur (Mercosur, the southern cone customs union), Argentina will also pursue a free-trade agreement with the EU, which the Economist Intelligence Unit expects to be completed in 2005. Argentina's recent imposition of trade barriers on some Brazilian manufactures appears to be part of an attempt to force its larger neighbour to address policy asymmetries that have hampered the integration process.

Economic policy outlook

Policy trends

The debt-swap offer to holders of US$81.8bn in principal and past-due interest to end-2001 (in addition to over US$20bn of past-due interest payments accumulated between the default and 31st December 2003) closed on February 25th with a participation rate of 76%. This is a lower rate than in previous sovereign restructurings, but it will probably be enough to satisfy the IMF and international capital markets that Argentina has put default behind it. Argentina will list the new securities in April and make the first interest payments, including interest accumulated from the bonds' issue date of December 31st 2003. Contacts with the IMF have already begun, aimed at drawing up another agreement to replace the stand-by arrangement which was suspended in July 2004. Renewing the IMF arrangement will be necessary—preferably by mid-2005, given the country's financing needs—if Argentina is to continue to roll over repayments due to the Fund in the medium term. Until an agreement is signed, it will meet repayments from its own resources.

The government will attempt to prolong the strong economic recovery and seek to redress some of the loss of workers' purchasing power since the economic crisis of 2001-02. Other economic priorities include renegotiating tariff levels with foreign investors in the privatised energy and water industries. The firms lost money when tariffs, formerly denominated in US dollars and linked to US inflation, were converted into pesos at a below-market exchange rate and frozen in early 2002. Until a stable new framework is reached, water and energy firms will have little incentive to invest, and energy shortages could restrict economic activity. Other reforms are needed to lay the basis for sustainable long-term growth, including reform of the financial sector and the implementation of a new fiscal pact between the federal and provincial governments to underpin fiscal sustainability. Despite Mr Kirchner's relatively strong position, the latter reform will prove extremely difficult to secure and will not be tackled until after the October legislative election. The government and the Banco Central de la República Argentina (BCRA, the Central Bank) will work to maintain a stable but competitive real exchange rate to support exports and the domestic tradeable goods sector.

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Fiscal policy

The government appears committed to running a responsible fiscal policy in 2005-06. The 2005 budget passed by Congress in November 2004 set a target of a primary fiscal surplus for the non-financial public sector (NFPS) of 3.9% of GDP. This target could be exceeded if strong growth in tax receipts is sustained and spending is kept under control. The amount devoted to debt-servicing will rise by 43%, to 6.2% of GDP, and capital spending (including transfers to the provinces) will rise by around 29%, to 6% of GDP. Given that the central government's average primary surplus in 1993-2003 was 1% of GDP, maintaining a primary surplus of 3-4% of GDP in the medium term, as set out in the plan presented to bondholders, will constitute a major challenge. To do so, the government will need to make revenue collection more efficient and improve controls on spending. The central government recorded a primary surplus (excluding interest payments) of 4.1% of GDP in 2004. This strong performance will not easily be sustained in the future. It has rested in part on the maintenance of the export levy and the financial transactions tax, the Impuesto sobre los Créditos y Débitos en Cuenta Corriente Bancaria, which together accounted for 16% of revenue in 2004. The agricultural lobby, its profitability squeezed by falling commodity prices, will pressure the government to phase out the export levy. The Fund will advocate that all emergency taxes be phased out, as envisaged under the suspended stand-by arrangement, although the government will resist setting a timetable for this. The government will face pressure to increase spending ahead of the October election. The ability of the provinces to spend beyond their means, which has long been the weak link in the public finances, will need to be brought under permanent control.

Monetary policy

The Central Bank will maintain the float of the peso, but will intervene in order to smooth volatility. In the short-term, the authorities' bias is likely to be towards buying foreign currency to prevent an appreciation of the peso, while taking care to control the resulting expansion in the monetary base. The accumulation of public-sector deposits at public banks, and the ongoing repayment by commercial banks of loans to the Central Bank, have acted to reduce the money supply, although this effect is likely to diminish. To head off rising inflation, which is likely to result from adjustments to fixed prices and wage increases for both public-sector and private-sector workers decreed by the government in December, the Central Bank tightened monetary policy in January. Interest rates on repo operations were raised by 25 basis points, to a still low 2.75%, and further moves are likely to follow. These rates remain far lower than prevailing lending rates to the private sector.

Economic forecast

International assumptions

International assumptions summary
(% unless otherwise indicated)

	2003	2004	2005	2006
Real GDP growth				
World	3.9	5.0	4.2	3.9
EU25	1.1	2.4	2.0	2.2
Brazil	0.5	5.2	3.6	3.3

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International assumptions summary
(% unless otherwise indicated)

	2003	2004	2005	2006
Exchange rates				
¥:US$	115.9	108.1	97.0	93.3
US$:€	1.132	1.244	1.365	1.400
SDR:US$	0.714	0.675	0.638	0.627
Financial indicators				
€ 3-month interbank rate	2.33	2.13	2.10	2.25
US$ 3-month commercial paper rate	1.10	1.48	3.29	4.38
Commodity prices				
Oil (Brent; US$/b)	28.8	38.5	37.5	33.6
Soybeans (% change in US$ terms)	23.2	16.1	-20.1	-3.2
Food, feedstuffs & beverages (% change in US$ terms)	6.6	9.3	-5.1	-2.7
Industrial raw materials (% change in US$ terms)	13.0	21.0	-1.3	-5.9

Note. Regional GDP growth rates weighted using purchasing power parity exchange rates.

Having expanded at an estimated 5%—its fastest rate for 20 years—in 2004, global GDP growth, measured at purchasing power parity, will slow to 4% in 2005-06. We expect the cycle of US monetary policy tightening that began in mid-2004 to continue. Higher interest rates will lead to increasing interest payments on the floating-rate portion of Argentina's debt. There are significant downside risks to the growth outlook.

Chief among these is the risk of a disorderly slide in the US dollar, which would cause the US to raise interest rates more sharply than we are forecasting. There is also the possibility that attempts by policymakers to cool the Chinese economy could result in a sharper than intended slowdown, which would hit both global demand and commodity prices. Argentina's terms of trade will be less advantageous in 2005-06 than in the exceptional year of 2004. Grain and soybean prices have fallen substantially from their highs and the price of the latter will average 20% below 2004 levels. Having pulled out of recession in 2004, Brazil, Argentina's main trading partner (particularly in manufactures), will grow by an average of 3.4% in 2005-06.

Economic growth

Gross domestic product by expenditure
(Ps bn at constant 1993 prices; % change year on year in brackets unless otherwise indicated)

	2003[a]	2004[b]	2005[c]	2006[c]
Private consumption	168.0	184.0	192.3	199.6
	(8.2)	(9.6)	(4.5)	(3.8)
Public consumption	34.3	34.7	35.5	36.2
	(1.5)	(1.0)	(2.3)	(2.0)
Gross fixed investment	36.7	50.0	58.5	64.3
	(38.2)	(36.3)	(17.0)	(10.0)
Final domestic demand	**238.9**	**268.6**	**286.2**	**300.0**
	(10.8)	(12.4)	(6.5)	(4.8)
Stockbuilding	2.4	1.0	1.5	1.5
	(0.5)[d]	(-0.5)[d]	(0.2)[d]	(0.0)[d]
Total domestic demand	**241.3**	**269.6**	**287.7**	**301.5**
	(11.2)	(11.7)	(6.7)	(4.8)

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Gross domestic product by expenditure

(Ps bn at constant 1993 prices; % change year on year in brackets unless otherwise indicated)

	2003 [a]	2004 [b]	2005 [c]	2006 [c]
Exports of goods & services	35.1	37.4	38.5	39.9
	(6.0)	(6.7)	(2.9)	(3.5)
Imports of goods & services	-20.4	-28.6	-32.3	-34.8
	(37.6)	(40.2)	(12.9)	(8.0)
Foreign balance	**14.7**	**8.9**	**6.3**	**5.1**
	(-1.5) [d]	(-2.3) [d]	(-0.9) [d]	(-0.4) [d]
GDP	**256.0**	**278.5**	**294.0**	**306.6**
	(8.8)	(8.8)	(5.6)	(4.3)

[a] Actual. [b] Economist Intelligence Unit estimates. [c] Economist Intelligence Unit forecasts. [d] Contribution to real GDP growth.

Having reached an estimated 8.8% in 2004 on the strength of a rebound in private consumption and investment, real GDP growth will moderate to around 5.5% in 2005 and 4.3% in 2006. The pace of job-creation will slow and monetary policy is also expected to tighten, but the authorities' commitment to maintaining a competitive exchange rate will benefit goods producers servicing both domestic and export markets. Exports will continue to grow, but net exports will make a moderately negative contribution to growth, as imports recover from depressed levels in 2001-02. Investment will continue to grow strongly. Much of this will be concentrated in construction rather than in plant and equipment, where more is needed to help overcome capacity constraints. Larger, foreign-owned firms will proceed cautiously with investment plans because of uncertainty over government policies. Investment in the agricultural sector will be curbed by falling profitability caused by lower commodity prices.

Inflation

The Central Bank will target inflation in a range of 5-8%. Having risen steadily during 2004, inflation is expected to rise in 2005 to almost 8%, owing to higher domestic demand (fuelled by recent wage settlements) and phased adjustments to frozen public utility rates. Producers will attempt to pass on higher wholesale price inflation experienced in 2004 to consumers. Cautious monetary policy should help to ensure that inflation remains under control, and we expect it to fall in 2006. Consistent and sustainable fiscal and monetary policies will be central to underpinning confidence in the peso and containing inflation.

Exchange rates

The government will stick with a policy of intervening to maintain stability in the exchange rate against the US dollar. Over the past year, the peso has traded at between Ps2.80:US$1 and Ps3.00:US$1 under such a policy. At its current level the peso is around 50% weaker than in the late 1990s and 2000-01, when it was considered overvalued. Although the authorities will be keen to avert a significant strengthening of the peso, a small real appreciation is likely to occur in 2005, especially once the debt swap is concluded, as foreign inflows increase. Our forecast is cautious, bearing in mind the expected fall in the trade surplus and stronger demand for foreign currency for servicing restructured debt. The peso is likely to maintain nominal stability in 2006. Argentina's competitiveness in the EU market will benefit from the weakness of the US dollar against the euro.

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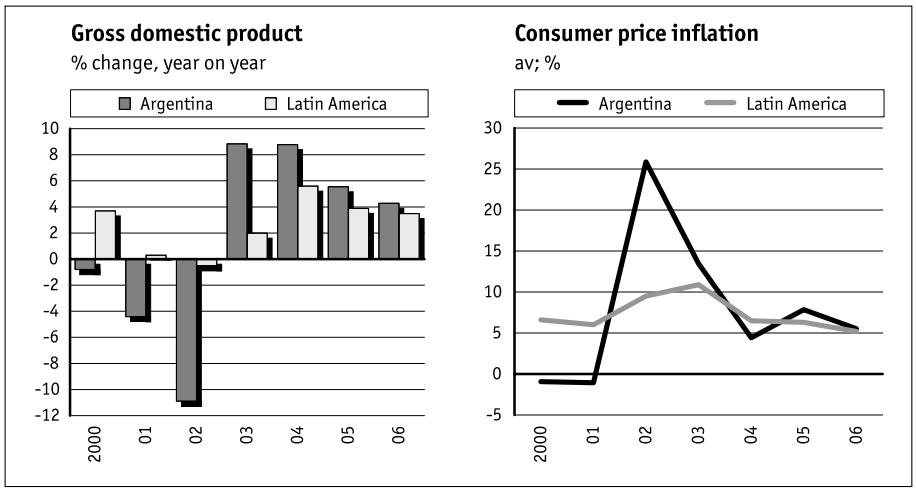
External sector

During the outlook period export earnings will continue to expand, with manufactures proving to be the most dynamic category. However, the trade surplus will decline as import spending, driven by investment and private consumption, rises more quickly. The expansion of the services deficit will be restrained, as favourable relative prices encourage tourism and contain outward travel. The balance on the income account will be negative, but will benefit from reduced interest charges following a debt restructuring and higher interest income from the expanding stock of reserves. Involuntary financing in the form of arrears will be replaced to some extent by real capital inflows. We expect the economy to run a small current-account surplus. However, given the narrowing in the exceptionally high trade surplus built up since 2002, we expect the current-account surplus to average just 0.2% of GDP in 2005-06.

Forecast summary
(% unless otherwise indicated)

	2003[a]	2004[b]	2005[c]	2006[c]
Real GDP growth	8.8	8.8	5.6	4.3
Industrial production growth	16.2	10.7[a]	8.5	5.0
Gross agricultural production growth	6.9	-2.0	2.0	2.0
Unemployment rate (av)	17.3	13.6	11.7	10.4
Consumer price inflation (av)	13.4	4.4[a]	7.9	5.5
Consumer price inflation (year-end)	3.7	6.1[a]	8.9	4.4
Short-term interbank rate	19.1	6.8	11.0	12.0
NFPS balance excl privatisation (% of GDP)	0.5	2.7	1.6	0.4
Exports of goods fob (US$ bn)	29.6	34.4	35.6	37.4
Imports of goods fob (US$ bn)	13.1	21.1	26.5	29.1
Current-account balance (US$ bn)	7.8	3.2	0.3	0.5
Current-account balance (% of GDP)	6.0	2.2	0.2	0.2
External debt (year-end; US$ bn)	145.7[b]	164.4	132.9	128.8
Exchange rate Ps:US$ (av)	2.90	2.92[a]	2.84	2.75
Exchange rate Ps:¥100 (av)	2.503	2.704[a]	2.932	2.954
Exchange rate Ps:€ (year-end)	3.664	4.006[a]	3.964	3.837
Exchange rate Ps:SDR (year-end)	4.32	4.60[a]	4.53	4.39

[a] Actual. [b] Economist Intelligence Unit estimates. [c] Economist Intelligence Unit forecasts.



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The political scene

Mr Kirchner renews executive powers

The popularity of the president, Néstor Kirchner, together with the strong position of his Partido Justicialista (PJ, or Peronist party) in the legislature, helped to ensure that Congress approved a one-year renewal of special executive powers at the end of 2004. As a result, the president will continue to be able to issue executive decrees (Decretos de Necesidad y Urgencia, or DNU); the cabinet chief, Alberto Fernández, will enjoy discretion over the allocation of federal budget spending approved by Congress; and the executive will keep for one more year the powers granted by the Economic Emergency Law passed in early 2002. Since they were introduced, the president has made frequent use of these powers. Under Mr Kirchner nearly one-third of the bills submitted to Congress have been DNU, based on the argument of special circumstances. The extension of the Economic Emergency Law also empowers the administration to issue decrees covering social, administrative, foreign-exchange, financial and health issues, which would otherwise need congressional approval.

The extension of executive powers, combined with the Peronist majority in both houses of Congress and the dispersion of the opposition, have tilted the balance of power in favour of the president. Mr Kirchner has concentrated power not only in the executive branch, but also in the office of the president. After nearly two years in office he has still not convened a cabinet meeting, and most policy decisions are taken after a relatively limited exchange of opinions, with the president closely involved. Mr Kirchner may be trying to hide differences of opinion within his administration, or attempting to retain a strong grip on the decision-making process. However, by placing himself at the centre of each policy dispute, he may be running the risk of having to accept the blame when wrong policy decisions are taken.

The extensive influence enjoyed by the president has been magnified by the paralysis and divisions besetting the opposition. In particular, the Unión Cívica Radical (UCR, or Radical Party), the only nationwide political organisation apart from the Peronists, has been too preoccupied with internal disputes seriously to challenge government policies. Radical governors have remained largely uncritical of the federal administration, at pains to avoid alienating Mr Kirchner because provincial finances depend heavily on transfers from the federal government. Opposition has been limited to the Afirmación para una República Igualitaria (ARI), on the left, and Recrear, on the right, two relatively new parties founded by former Radicals, whose support and party organisation are largely restricted to the capital, Buenos Aires.

Rivalries within PJ pose problems for Mr Kirchner

In the absence of a strong external rival, the president's main challenge has been to prevent internal divisions within the PJ from destabilising his government. These risks have been illustrated in recent months by in-fighting among Peronists in the province of Buenos Aires, the largest electoral district. Felipe Solá, the governor of Buenos Aires who was re-elected in September 2003, resents the control of the provincial party still held by the former president, Eduardo Duhalde (2002-03), and has demanded more influence over the selection of PJ candidates for congressional seats representing the province in the national legislature. Mr Duhalde continues to rely on the outdated and

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allegedly corrupt political machinery that runs the party in the district, while Mr Solá is seen as more of a moderniser.

At the end of December the Buenos Aires provincial Congress, where Duhalde supporters form the majority of the Peronist bloc, refused to grant Mr Solá the executive powers he had requested. The decision was interpreted as a show of strength by Mr Duhalde, following Mr Solá's attempts to launch a rival current within the party in Buenos Aires. Mr Solá responded by vetoing the budget bill, instead rolling over the budget approved for 2004. He accused Peronist legislators of using public money to finance political activity. This has been a standard practice for decades, and Mr Solá's decision to use the accusation against his opponents indicates the bitterness of the dispute. Mr Kirchner demanded that provincial legislators approve Mr Solá's 2005 budget. The president's decision to intervene was interpreted as a victory for Mr Solá. The fact that Mr Solá is challenging Mr Duhalde in his own stronghold is illustrative of the emergence of new actors within the PJ.

Mr Kirchner must handle the situation with care, for fear of alienating Mr Duhalde's followers in the national Congress, whose support he needs in order to pass legislation. A breakdown in relations would be bad for both sides, but the possibility cannot be discarded, as Mr Kirchner would like to reassert his power relative to Mr Duhalde and the party machinery he controls. Tensions will persist until the lists of congressional candidates for October's legislative election are ready. The president may try to increase his influence in Buenos Aires province by selecting his wife, Cristina Kirchner (currently senator for Santa Cruz province), to head the list of the province's candidates to the Senate, displacing Hilda Duhalde, Mr Duhalde's influential wife.

Buenos Aires mayor faces recall election

A disastrous fire at a rock music venue in the city of Buenos Aires at the end of December, in which around 200 young people died, unleashed popular anger against the city authorities for not having enforced regulations that might have prevented the tragedy. The brunt of the attacks was borne by the city mayor, Aníbal Ibarra of the centre-left party Frepaso, an ally of Mr Kirchner. Mr Ibarra was twice summoned to appear before the provincial legislature, and his image has suffered badly. In an attempt to regain the initiative, the mayor has called a revocatory referendum on his continued rule. However, gathering the required 500,000 signatures has proceeded slowly and the process is losing momentum.

Opposition looks divided ahead of legislative election

Divisions continue to surface within the opposition ahead of forthcoming legislative election. In the federal district the major contenders will be Elisa Carrió and Mauricio Macri, both opponents of the mayor, Aníbal Ibarra, coming from opposite sides of the political spectrum. Mr Macri will probably head the federal district's list of congressional representatives for his party, Compromiso por el Cambio. The UCR party in the federal district is divided between those willing to join forces with the rest of the party and those inclined to run on independent tickets.

In the province of Buenos Aires the leader of Recrear, the orthodox former finance minister, Ricardo López Murphy, has announced that he will run for a Senate seat. Mr López Murphy is assembling a broad coalition to defeat the

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candidates of Mr Kirchner and Mr Duhalde in the province. This has led him to consider alliances with likely partners such as the former president, Carlos Menem, and the hardline right-winger, Luis Alberto Patti. The UCR in the province of Buenos Aires is more united than its counterpart in the federal district: the present provincial party leader, Margarita Stolbizer, is very likely to become the official head of the Radical list. However, a group of mayors and local party chiefs (the "Grupo de Olavarría") wants to form alliances with other parties, including that of Mr López Murphy, a former Radical. The UCR leadership outside Buenos Aires federal district and province has complained that these disputes are impeding the recovery of the party as a national force.

Legislative elections moved to October 23rd

In mid-December Congress approved a proposal from the executive to hold all elections for legislators to represent the different provinces in the national Congress on the same day, October 23rd. Previously, each province had been scheduled to hold its own election on different dates between March and October. Voters will renew one-third of the Senate and one-half of the Chamber of Deputies. The change is likely to benefit the administration by giving it more time to organise its supporters across the country. In the largest districts, such as the city and province of Buenos Aires, Santa Fe and Córdoba, Mr Kirchner's initiative has been already adopted. In others, such as Catamarca, San Luis and Neuquén, negotiations have reached an impasse. In Chaco, Chubut and Tierra del Fuego local constitutions are impeding the merger of national and provincial elections.

Last Menem-era Supreme Court judge faces removal

The executive's efforts to reform the Supreme Court are drawing to a close. Now that the lower house has passed the executive's impeachment proposal against Antonio Boggiano, the constitutional affairs committee of the Senate will consider the case in March. Mr Boggiano, the last of the judges appointed by the former president, Mr Menem, to remain in office, faces charges relating to one of the cases that led to the removal of another Supreme Court judge, Eduardo Moliné O'Connor. Under Mr Menem, the court was packed with poorly qualified political appointees and became discredited, as an "automatic majority" issued a stream of verdicts at the behest of the executive. Mr Boggiano appears likely to go, either voluntarily or by being impeached. Two new Supreme Court judges have formally taken their seats in recent months: Ricardo Lorenzetti in December 2004 and Carmen Argibay in February. Mr Lorenzetti is a well-known lawyer and his nomination was broadly unopposed, but Mrs Argibay's swearing-in was delayed after conservative groups raised objections to her openly atheist views.

Following these appointments the nine-member Supreme Court is back to full strength for the first time since Mr Kirchner took office. One of Mr Kirchner's first acts as president was to begin the process of removing discredited judges appointed by Mr Menem. Since then three judges have resigned rather than face a formal hearing, and a fourth has been removed by impeachment. Apart from Mr Boggiano and the Kirchner appointees, three of the remaining four judges were appointed by the former president, Raúl Alfonsín (1983-89) and one by Mr Duhalde. If Mr Boggiano is dismissed, five out of nine Supreme Court judges will have been appointed by Mr Kirchner, laying him open to similar

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criticism as that levelled at Mr Menem. Anticipating this, the administration appears to have become more reticent on the issue of Mr Boggiano's impeachment.

New Supreme Court offers contradictory verdicts

However, the risks of recreating a Supreme Court which is subservient to the executive are small. The professional competence of the current membership is far superior to that of its predecessors. As a by-product of this, differing opinions have been in evidence on the court. Some recent verdicts have sown confusion among lower-level judges. One case in point was the court decision on "pesification" (the mandatory conversion of foreign-currency-denominated deposits into domestic-currency ones in early 2002). The controversial case was decided by just one vote, but one of the judges who voted with the majority also produced a dissenting interpretation, undermining the Supreme Court's verdict. Following the verdict, lower courts issued a series of rulings that contradicted the nation's highest court. The Supreme Court has abandoned its recent tradition of unanimous verdicts, frequently in response to pressure from the executive, in favour of verdicts marked by dissent and lack of common ground.

Unions demand wage rises

The administration has striven to maintain good relations with trade union leaders. Rapid economic growth and falling unemployment have prompted trade unions to demand wage increases for the first time in years. Trade unions representing teachers, public transport workers and refuse collectors began a campaign for higher wages in October 2004. In December telecommunications workers joined the protests, despite the Ps100 (US$35) emergency rise decreed by the executive. The number of instances of industrial action by trade unions doubled in 2004 compared with the previous year, although this is low by historical standards. Mounting pressure from trade unions has coincided with a gradual weakening in the *piquetero* movement (organised groups of unemployed workers) in the face of government social spending and more forceful policing.

President mends fences with European leaders

Mr Kirchner has striven to repair relations with key European partners, such as France and Spain. In January he visited Paris, receiving somewhat unexpected support from the French president, Jacques Chirac. The Spanish premier, José Luis Rodríguez Zapatero, warmly endorsed Mr Kirchner's government, even at the risk of irritating Spanish investors. Spanish and French firms are among the major foreign investors in Argentina, and some have launched arbitration procedures before the World Bank's International Court for the Settlement of Investment Disputes (ICSID) to challenge government decisions such as "pesification" and the freeze of utilities tariffs, which has been in place since the collapse of the currency board. They have lobbied their governments to exert diplomatic pressure on Argentina for better treatment. Argentina has demanded that these firms stop their actions in the ICSID before the renegotiation of their contracts—to include rises in tariffs—can begin. Little progress has been made so far. One of the most controversial cases is that of the privatised public utility, Aguas Argentinas, which is majority-owned by France's Suez. The government has hinted at renationalising the firm unless the dispute is resolved.

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Economic policy

Public finances improve in 2004

During 2004 the public finances improved markedly, reflecting mainly strong growth in tax revenue, which increased by 36.1% over the previous year. Despite growth in primary (non-interest) expenditure of 28%, the primary fiscal surplus nearly doubled to Ps17.3bn (US$5.9bn), or 3.9% of GDP, the highest for ten years. This favourable performance encouraged the government to ask for a temporary suspension of its three-year stand-by agreement with the IMF in July, while it prepared a debt-exchange offer to holders of defaulted debt. Since suspending the agreement with the IMF, Argentina has stopped receiving disbursements and has paid a total of US$2.3bn in amortisations, funded by its comfortable fiscal surplus.

VAT and income tax lead revenue increase

Tax revenue grew by 37.6% in nominal terms to reach 21.9% of GDP, 2.7 percentage points higher than in 2003. Most of the increase was accounted for by higher value-added tax (VAT) and income tax collections. Income tax collection increased by 51%, helped by a ban on firms adjusting their revenue for past inflation, an accounting manoeuvre that had previously helped companies to lower their tax bills. Rapid growth in the economy and in imports boosted VAT collections. Inflows of social security contributions also increased, as formal employment and nominal wages both rose. Export taxes and the financial transactions tax also performed strongly, accounting for 16% of revenue. If, as expected under the terms of any new agreement with the IMF, these taxes are phased out, they will leave a sizeable gap that will have to be filled by alternative revenue. Growth in tax revenue is expected to be more moderate in 2005, although it has got off to a strong start. After the government allowed some tax payments scheduled for the end of 2004 to be deferred into 2005, tax revenue in January and February grew by around 23% and 30% respectively on the previous year.

Non-financial public-sector accounts[a]
(Ps m; Jan-Dec)

	2003	2004	% change
Revenue	77,122	104,968	36.1
Taxes	60,738	83,584	37.6
Privatisation	11	28	154.5
Expenditure	75,409	93,448	23.9
Interest payments	6,883	5,703	-17.1
Balance incl privatisation revenue	1,805	11,658	545.9
Balance excl privatisation revenue	1,794	11,630	548.3
Primary balance excl privatisation revenue	8,677	17,333	99.8

[a] Excludes provinces.

Source: Secretaría de Politica Económica, Ministerio de Economía.

Half of the increase in total primary spending was accounted for by higher transfers to the provinces, which increased by 49%. The amount of tax revenue shared, transfers for public works, and funding for local social expenditure all grew. The remainder was accounted for by the increase in pension payments, higher expenditure related to the energy crisis that emerged in mid-2004, and greater federal public works and social spending. The impact of higher wage

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expenditure was comparatively minor. In December primary spending increased markedly, pushing the primary balance into deficit for the first time in 2004. This was the result of a deliberate policy by the government of shifting the timetable of expenditure to take advantage of the extraordinary surplus recorded in 2004. For the first time in years, pension payments and public-sector Christmas bonuses were paid before the end of the year. Traditionally, these were disbursed in the following year to flatter the fiscal results.

Argentina to complete debt swap

More than three years after halting payments on US$81.8bn of external bonded debt, Argentina is about to emerge from default. A government offer to settle with creditors by offering them up to US$41.8bn in new securities in exchange for US$81.8bn in defaulted bonds (plus around US$20bn in accumulated arrears) seems to have been successful, confounding expectations. A six-week window for investors to accept Argentina's debt exchange opened on January 14th and closed on February 25th. The president, Néstor Kirchner, announced in early March that participation in the swap (the face value of the debt tendered as a proportion of the total) had reached 76%. Investors who accepted the offer suffered a loss in net present value terms of up to 70%.

The government had to postpone the offer in November at the insistence of the Bank of New York (BoNY), which was in charge of the operational aspects of the exchange, on the grounds that it was impossible to meet the original deadline of November 29th. The Italian securities regulator also caused delays by withholding until December 17th its consent for the offer to be made in Italy. However, after the postponement the government worked hard to convince investors that the offer would not be re-opened or its term extended. The executive and Congress presented a united front, the latter approving in January a law preventing the government from re-opening negotiations after the debt swap offer was concluded or from settling either in or outside the courts with non-participating creditors. As a further incentive for local investors to participate the economy minister, Roberto Lavagna, announced that the government would refrain from investigating the tax affairs of resident bondholders taking part in the operation by tendering bonds held abroad, mainly in tax havens. By the time the offer closed, according to preliminary information the vast majority of local investors (97.75%, equivalent to 33% of the total stock) had entered the swap, as well as most US- and Switzerland-based investors (which included Argentinians with offshore holdings). The markets with the lowest take-up were Italy (where around 450,000 retail investors held up to US$14.5bn, according to creditor groups) and Japan.

External conditions make the offer more attractive

The high rate of participation in the debt-exchange offer was partly a result of favourable external conditions. Falling long-term interest rates, as indicated by the yields on ten-year US Treasury bonds, have lowered the discount rate used to calculate the net present value of the new Argentinian debt (this despite the fact that the US Federal Reserve began to tighten monetary policy in 2004). Between June 2004, when the debt-exchange offer was first announced, and January 2005 (when the offer was effectively launched), the lower interest rate and the lower risk premium on emerging markets reduced the estimated capital loss from 76% to as low as 64.5%.

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The government offered other incentives, such as the payment of part of the interest arrears (by launching the bonds with an issue date of December 31st 2003, bondholders will receive all the interest corresponding to 2004 as a lump sum when the bonds are issued), a commitment to repurchase bonds using any repayment capacity remaining unused because participation in the swap reached less than 100%, and the inclusion of a growth-linked coupon. The growth-linked coupon commits the government to devote each year a sum equivalent to 5% of the amount by which nominal GDP exceeds the government's official growth target to buybacks of the new debt. The value of the growth-linked coupon would vary depending on the exchange rate and inflation forecast. After more than three years without receiving any interest payments, the patience of most creditors appeared to be exhausted. Court proceedings also seemed likely to prove ineffective. The IMF has yet to issue a judgment on whether the participation rate is sufficiently high to constitute an end to the default.

Solvency still fragile in the medium term

Despite having achieved debt reduction, Argentina's solvency will still be fragile. The stock of total public debt after the operation will still be close to 80% of GDP—the exact amount is not yet known. The swap has lengthened the maturity of the debt stock, lowered coupons and lifted the share of Argentina's liabilities denominated in domestic currency. However, to service this stock of debt the primary surplus will have to approach 4%, a greater surplus than Argentina has managed to maintain for sustained periods in the past.

Executive amends spending plans in December

In December, making use of its special powers, the executive modified the 2004 budget and reallocated expenditure worth around Ps3.2bn to bring forward some expenditure that was scheduled for the beginning of 2005 and reduce the accumulated surplus. The budget categories which experienced the largest increases were the following.

- The Treasury received almost Ps1.9bn in additional finance for higher transfers to the provinces and to capitalise the state-owned Banco de la Nación.
- The Ministry of Planning received an additional Ps316.2m for the trust created to compensate participants in the wholesale electricity market, where the government has been accumulating liabilities with electricity-generating firms since 2002.
- The Ministry of Public Health was assigned an extra Ps210.3m, nearly half of which will be used to finance specific healthcare projects.
- The Ministry of Labour received an extra Ps140m to finance the subsidy programme for low-income heads of household, the Plan Jefes y Jefas de Hogar.

Part of these changes were contained in an executive emergency decree, which raised government expenditure by Ps2.5bn. The remainder of the increases were enacted by the cabinet chief, using his discretionary powers. The total additional allocation was equivalent to a 5% increase in planned government expenditure for 2004.

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Year-end measures aim to stimulate consumption

Buoyant tax collections allowed the government to adopt a number of measures aimed at stimulating consumption. Among them, the authorities increased *asignaciones familiares* (payments made to dependents of low-income earners, funded from the social security budget) by 50% as of October 1st 2004. In addition, the monthly wage ceiling for claiming *asignaciones familiares* was raised from Ps1,725 to Ps2,025 (US$695), raising the total number of workers receiving the benefit by 1.7m. In addition, the authorities decided to make a special and extraordinary Ps200 payment to all recipients of state pensions in December, as well as a Ps75 extraordinary payment to all beneficiaries of social plans. A Ps100 wage increase was decreed as of January 1st for private-sector workers and for public-sector workers earning less than Ps1,250 per month.

Salary negotiations between unions and employers are likely to result in increases in 2005, making government decrees less likely. The trade unions have encouraged the government to decree salary rises in order to have a higher floor from which to negotiate new wage increases. Business lobbies have argued that the government's intervention has been counterproductive, discouraging the creation of jobs in the formal sector. During the first half of 2004 nearly 50% of all new jobs were created in the informal sector.

Monetary policy pursues conflicting objectives

During 2004 monetary policy continued to pursue three objectives that are not fully consistent: a weak nominal exchange rate, low inflation and low interest rates. The conflicting objectives were nevertheless met because the high level of unused capacity made it possible for growth in the money supply to result in output growth rather than higher inflation. The rapid monetary expansion experienced during 2004 was accompanied by a rapid rise in money demand, a circumstance that is unlikely to persist. The authorities have managed to achieved their monetary policy goals through the control of growth in monetary aggregates, but they wish to move gradually towards a policy focused on the management of short-term interest rates, which they believe will enable them to be more precise in meeting their targets.

The broad monetary base (pesos in circulation plus commercial banks' deposits at the Central Bank, adjusted by repos) ended 2004 at Ps56.2bn, very close to the Ps56.3bn upper limit set in the authorities' monetary programme. After the money supply increased towards the end of 2004, at the beginning of 2005 the Central Bank smoothed its intervention in the foreign-exchange market and sterilised most of its monetary expansion. This was in response to anticipated lower money demand and indications of a resurgence in inflation (prices rose by 1.5% month on month in January, the highest monthly rate since August 2002). Scaling-back of intervention in the foreign-exchange market caused the real exchange rate to strengthen by an estimated 3.7% in January, raising expectations of a peso appreciation after the conclusion of the debt-exchange operation.

Government takes Central Bank advances

By year-end temporary advances made to the Treasury by the Central Bank had come within Ps800m of the maximum limit authorised by the Central Bank's charter. However, in practice this Central Bank financing had few inflationary effects, since most of the advances were used to purchase foreign currency needed to pay back liabilities owed to international institutions. Moreover, in

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the first two months of 2005 the central government repaid part of the advances made in 2004, lowering the outstanding borrowing from the Central Bank to Ps2bn below the legal limit.

Measures to increase the importance of the repo market

In an attempt to strengthen the repo market as a means of monetary control, in January the Central Bank decided to lower the minimum reserves required for peso-denominated deposits by 1-2% and raise the interest rate paid on repo operations by 25 basis points to 2.75%. The first measure is part of a transition to less coercive means of monetary regulation, while the second aims to encourage banks to channel part of the liquidity released by the lowering of reserve requirements into repo operations. If more liquidity does flow into the repo market, the share of commercial banks' liquidity that the Central Bank may influence through its interest-rate policy will increase.

The domestic economy

Output and demand

Output grows strongly in the third quarter

During the third quarter of 2004 real output increased by 2.9% over the preceding three months (seasonally adjusted), recording the tenth consecutive quarter-on-quarter rise. This confirmed that the slowdown in growth experienced in the second quarter, when real output increased by a modest 0.8%, was a temporary phenomenon. Real output came within 3.5% of the peak recorded in the second quarter of 1998. The economy bounced back strongly from the second quarter, when a number of temporary factors held back growth. A widely predicted energy shortage had encouraged a precautionary build-up of inventories during the first quarter, the harvest was lower than expected, and the timing of tax payments weighed on consumption and investment spending. In the third quarter public-sector wages increased, fiscal policy was loosened and monetary policy was expansionary. Fourth-quarter output growth is expected to have matched that seen in the third. The official annual growth estimate for 2004 was 8.8%, the same as in 2003, according to an announcement in February by the economy minister, Roberto Lavagna.

Capacity utilisation rises, slowing industrial growth

Rapid growth in output since 2002 has significantly increased capacity utilisation rates (to more than 70% in manufacturing) and narrowed the gap between real and potential output. This was one reason why industrial output growth slowed to 10.7% year on year in 2004, from 16.3% in 2003. During the first nine months of 2004 domestic demand continued to lead the economic expansion, contributing 11.7 percentage points to total output growth. Growth in imports outstripped that of exports, leading net foreign demand to detract 2.7 percentage points from total output growth. The contribution of investment spending to total aggregate demand growth fell during the third quarter for the second consecutive period. During the third quarter of 2004 the year-on-year growth rate of investment spending reached 33.1%, well below the level of 50.3% recorded in the first quarter.

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The investment slowdown was not unexpected, since fixed capital formation had already experienced a very sharp rebound following four years of recession (1999-2002), the collapse of the financial system, the sovereign default and the traumatic abandonment of the currency board in 2002. However, investment spending has been growing four times more quickly than total output growth, leading to an increase in the investment ratio. In the third quarter of 2004 it reached 19.8% of GDP, close to the peak of 20.2% of GDP recorded in the third quarter of 1998.

The increase in investment spending encompassed both durable capital equipment and construction. Growth in spending on durable capital equipment has outstripped construction spending, but it has been recovering from a sharper contraction during the crisis. The share of imports in total investment in durable capital equipment increased from 28% in 2002 to more than 50% in the third quarter of 2004, a share similar to the average recorded during the five years before the crisis. During 2003 and in the first nine months of 2004 real investment spending on imported capital equipment grew four times more quickly than spending on domestic equipment. This suggests that, by incorporating new technology, the sectors involved are poised to reap productivity gains.

Gross domestic product growth by demand

(% change, quarter on quarter; year on year in the case of calendar years)

	2003		2004		
	4 Qtr	Year	1 Qtr	2 Qtr	3 Qtr
Private consumption	2.8	8.2	2.2	1.0	2.9
Public consumption	-0.2	1.5	0.8	1.4	1.9
Gross fixed investment	12.5	38.2	11.3	2.1	5.8
Exports of goods & services	1.4	6.0	2.1	-3.4	7.7
Imports of goods & services	13.0	37.6	11.0	5.1	7.3
GDP	**3.0**	**8.8**	**1.5**	**0.8**	**2.9**

Source: Ministerio de Economía.

Real consumption approaches pre-crisis levels

Having increased rapidly, aggregate consumption spending is almost back at pre-crisis levels, although in per head terms it remains lower. During the third quarter real private consumption spending was only 7% below the peak recorded in the second quarter of 1998. A more expansionary fiscal and monetary stance and the increase in public-sector wages all helped to stimulate consumption in the third quarter. Consumption spending may have also reacted to other measures aimed at increasing purchasing power, such as the announcement that tax payments due in December 2004 could be deferred to the following January. The consumer confidence index published by the Universidad Torcuato di Tella (UTDT) rose by 8.7% during the fourth quarter (in quarter-on-quarter terms) and increased again in January 2005. Supermarket and shopping centre sales increased by 12.8% and 30.8% year on year respectively in the fourth quarter.

Goods-producing sectors lead growth

On the supply side, goods-producing sectors continued to lead total output growth, growing by 10.6% year on year in the first nine months of 2004. Services output increased by a more modest 6.2%. This gap in growth rates has been closing fast: from nearly 10 percentage points in the first quarter of 2004 to

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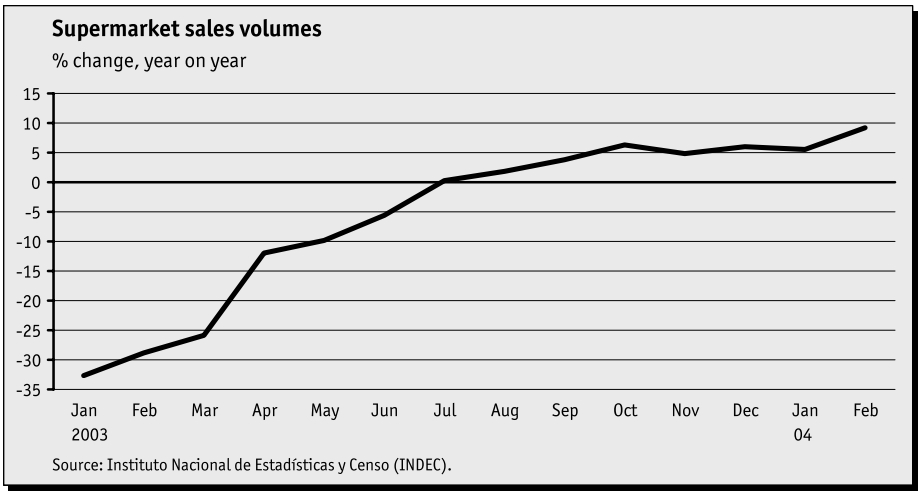
less than 3 percentage points in the third, as growth in goods-producing sectors has slowed. Indeed, during the first nine months of 2004 the contribution of goods-producing sectors to total output growth was lower (at 3.4 percentage points) than that of service-producing sectors (3.9 percentage points). This slowdown in the goods-producing sector reflects the cooling in industry and construction, which were among the first sectors to lead the economy out of recession. The contraction of agriculture, fishing and mining recorded during the first nine months of 2004 also affected the result. In the services sectors, retailing and transport continued to expand rapidly, while the ongoing contraction in financial intermediation (the only sector where output is still in decline) has continued.



Gross domestic product growth by sector
(% change, year on year)

	2003		2004		
	4 Qtr	Year	1 Qtr	2 Qtr	3 Qtr
Agriculture, livestock & forestry	9.2	7.0	9.0	-11.1	2.5
Fishing	9.9	1.2	-5.7	-12.1	-29.6
Mining & energy	6.7	3.7	2.7	-2.4	-2.6
Manufacturing	16.9	16.0	15.8	13.8	9.5
Electricity, gas & water	8.5	6.9	9.3	8.2	2.7
Construction	45.9	34.4	41.4	32.6	26.1
Services					
Hotels & restaurants	6.3	6.0	6.4	5.7	6.6
Transport, warehousing & communications	12.2	8.2	14.1	9.8	11.8
GDP	**11.7**	**8.8**	**11.3**	**7.1**	**8.3**

Source: Ministerio de Economía.

Employment, wages and prices

Inflation slows in the fourth quarter

Consumer prices increased by 1.2% in the fourth quarter of 2004, taking the accumulated price rise for the whole year to 6.1% (below the target range of 7-11% originally agreed with the IMF). Most of the rise recorded during the fourth quarter occurred in December, when prices rose by 0.8%. This is a reflection of the government's pursuit of expansionary policies to encourage consumption, as well as seasonal factors.

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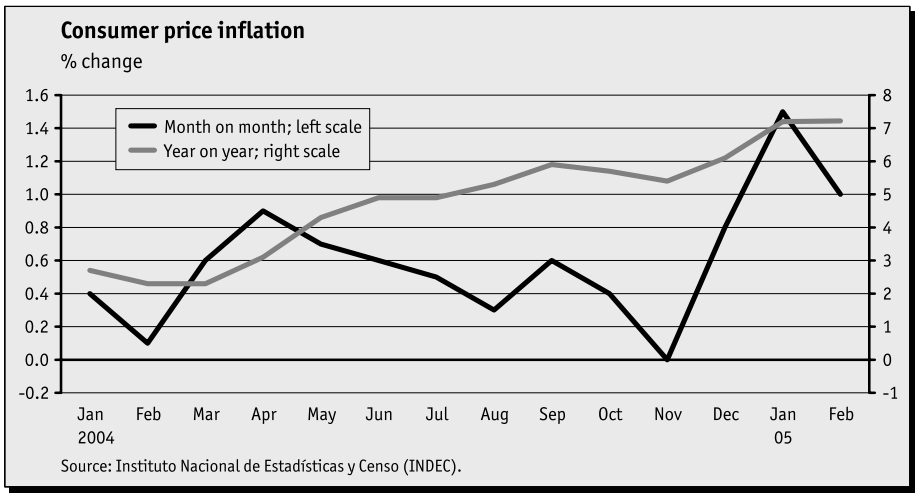
Consumer and producer prices
(% change)

	2004												2005
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan
Consumer prices													
Month-on-month	0.4	0.1	0.6	0.9	0.7	0.6	0.5	0.3	0.6	0.4	0.0	0.8	1.5
Year-on-year	2.7	2.3	2.3	3.1	4.3	4.9	4.9	5.3	5.9	5.7	5.4	6.1	7.2
Year-to-date	0.4	0.5	1.1	2.0	2.7	3.3	3.8	4.1	4.8	5.2	5.2	6.1	1.5
Wholesale prices													
Month-on-month	-0.3	1.4	0.4	0.8	1.3	0.2	0.9	2.4	0.2	0.6	-1.2	0.9	-1.1
Year-on-year	1.2	2.2	3.4	6.1	8.2	8.6	9.6	10.7	11.2	11.3	8.8	7.9	7.0
Year-to-date	-0.3	1.1	1.5	2.3	3.6	3.9	4.8	7.3	7.6	8.3	6.9	7.9	-1.1

Source: Instituto Nacional de Estadística y Censos.



In January consumer price inflation was 1.5%, the highest monthly rate since August 2002. Goods and services prices with a seasonal component increased by 4.5% compared with December (led by tourist services and some food items). Regulated prices and prices of goods and services, including a large tax component, increased by 1.5%. These prices include taxi fares, compressed natural gas, private health insurance, private education and tobacco products. Prices of other goods, whose price changes are more indicative of the underlying inflation rate, rose by a more modest 1.1%. The relative price of non-tradable goods (which have a large impact on the rest of consumer prices) is rising more quickly than that of tradeable goods, reflecting, among other factors, an increase in real wages. During the fourth quarter non-tradeables prices increased by 1.4%, more quickly than seasonally sensitive prices (0.6%) and regulated prices (1%).

The recent acceleration of consumer price inflation appears to be a passing phenomenon. Wholesale prices have remained generally flat, rising by a modest 0.3% in the last quarter of 2004 and contracting by 1.1% in January 2005. Prices of primary products, including petroleum and agricultural goods, fell in the fourth quarter. In the coming months the wholesale price index will be affected by the expected increase in the price of some critical inputs, such as electricity.

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Employment picture improves in third quarter

During the third quarter of 2004 the strong pace of economic activity led to job creation and falling unemployment. The employment rate increased by 1.8% quarter on quarter, continuing the rising trend begun in 2003, when the national statistics office, the Instituto Nacional de Estadística y Censos (INDEC) began to measure employment using a new methodology. The supply of labour, measured by the adult participation rate in the labour force, remained flat at 46.2% in the third quarter, before falling slightly in the fourth quarter. The unemployment rate fell to 13.2% in the third quarter and to 12.1% in the fourth, resuming a falling trend that had started in the first quarter of 2003 but was interrupted in the first half of 2004. Unemployment is expected to continue to fall, to judge by the Labour Demand Index (IDL) compiled by the Universidad Torcuato Di Tella. During the fourth quarter of 2004 the index, a leading indicator of labour demand (which measures the number of job advertisements in the press) increased by 8.8% year on year and by 2.8% over the previous quarter, reaching its highest level in five years. The same trend is anticipated by the Survey of Labour Indicators (Encuesta de Indicadores Laborales, or EIL) conducted by the Ministry of Labour, which measures formal employment. During October and November the index experienced an average monthly increase of 0.85%, higher than in previous quarters.

Unemployment still high

Unemployment is falling, but it remains very high. Moreover, a large proportion of workers are unregistered, working in the informal labour market for low wages. According to the Permanent Household Survey (EPH) conducted by INDEC, during the third quarter of 2004 informal sector jobs (those where employers are making no social security contributions) accounted for 47.7% of the total. The share of unregistered labour has been falling since the beginning of 2004, but it is much higher than before the maxi-devaluation that followed the collapse of the currency board in January 2002; in October 2001 it was 38.8%. The government decrees regarding private-sector wage rises and increasing severance pay may have discouraged an increase in formal employment, but the preponderance of unregistered labour also has more deep-seated causes, including the relatively high level of tax evasion on the part of individuals and firms and uncertainty over future prospects for the economy.

Unregistered and public-sector workers lose out

Although output is close to record levels, workers have yet to recover all the purchasing power lost since the crisis. Average real wages are 15% below their 2001 levels. Unregistered workers earn lower wages than their registered counterparts, so the spread of informal employment relations has tended to lower average wages. Private estimates suggest that real wages in the informal sector have declined by as much as 25% since the crisis, and they were unaffected by the wage rises decreed by the authorities. Similarly, despite the nominal increases decreed by the government, real public-sector wages are still 28% below their December 2001 level.

Most of the recovery in wage levels has been experienced by the private formal sector. Not only has this group of workers benefited from the increases decreed by the government, but a shortage of supply has driven up the market prices of skilled labour. According to INDEC, the industrial sectors which face the most

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severe shortages of qualified personnel are textiles, plastics, engineering, and chemicals and metalworking industries.

The high incidence of informal labour relations and low average wages has caused poverty indicators to improve more slowly than the unemployment rate. The average unemployment rate during the first half of 2004 was 14.6%, down from an average of 24.1% in the first half of 2002, but the fall in poverty rates was much smaller in magnitude. In the first half of 2004 the share of the population below the poverty line was 44.3% of the total, compared with 49.7% in May 2002 (under the previous methodology of the Encuesta Permanente de Hogares, the Permanent Household Survey or EPH).

Social indicators
(% of economically active population unless otherwise indicated)

	2003	2004		
	4 Qtr	1 Qtr	2 Qtr	3 Qtr
Unemployment	14.5	14.4	14.8	13.2
Underemployment	16.3	15.7	15.2	15.2
Poverty (% of population)[a]	47.8[c]	44.3	44.3	n/a
Extreme poverty (% of population)[b]	20.5[c]	17.0	17.0	n/a

[a] Defined as too poor to afford the basic food basket plus a narrow range of services including transport, clothing and health. [b] Defined as too poor to afford the basic food basket. [c] Data on poverty are compiled twice a year.

Source: Instituto Nacional de Estadística y Censos.

Financial indicators

Monetary base grows at the end of 2004

Having remained largely flat during July-October, the Base Monetaria Amplia (BMA), the broad monetary base, began to increase markedly in November, driven in part by seasonal factors. During the fourth quarter it grew by 3.5% quarter on quarter, triggered by a 4.8% increase in monetary circulation. Commercial bank reserves rose by a more modest 1.8%.

One of the main factors behind the expansion of the monetary base during 2004 was Central Bank intervention in the foreign-exchange market to weaken the peso. In the last quarter of 2004 the Central Bank purchased foreign currency for a total of Ps6.8bn. The net impact of the financial sector on the monetary base was negative, as a result of swap operations and the cancellation of rediscounts with the Central Bank. The public sector continued to finance its payments to international financial institutions out of its holdings of foreign currency. The placement of Central Bank bills absorbed liquidity, but the importance of these sterilisation instruments declined throughout the year, as the monetary authorities gradually reduced issuance. Lower issuance of these instruments enabled the Central Bank to meet its target to reduce interest rates.

Adjusted by Central Bank swap operations, by December 2004 the BMA had increased by 21.4% year on year to Ps56.2bn, just 0.3% below the upper limit of the range set in the 2004 monetary programme. However, during 2004 the expansion of the Central Bank's short-term monetary liabilities was

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9.3 percentage points lower than in 2003. Issuance of local currency via intervention in the foreign-exchange market increased more quickly during 2004 than in 2003, but the Treasury, by purchasing foreign currency out of its fiscal surplus, exerted a contractionary influence on the money supply. Central Bank intervention in the foreign-exchange market and the accumulation of foreign-currency holdings by the Treasury allowed the authorities to keep the peso:dollar exchange rate stable; during 2004 the peso experienced a nominal depreciation of 0.4%. Intervention also led to an increase in international reserves. These reached US$20.1bn at the end of January 2005, the highest level since October 2001.

Liquidity increases at commercial banks

During 2004 the commercial banking system maintained a comfortable liquidity position. In the fourth quarter the liquidity ratio (cash in the banks' vaults, deposits at the Central Bank and repos as a share of total deposits) reached 23.8%, 1.2 percentage points higher than in the third quarter. High liquidity in the financial system has helped deposit rates to fall, with a few exceptions. Interest rates have not fallen in some areas of the market, while in October interest rates on longer-term deposits increased, encuraged by precautionary moves by commercial banks. Lending rates have fallen.

Total monetary aggregates continued to increase in the fourth quarter and the beginning of 2005. Public-sector deposits were the fastest-growing component during October and November. Private-sector deposits and cash in circulation were the fastest-growing components in December and January, mainly because of seasonal factors (workers typically receive a Christmas bonus) and the postponement of tax payments decreed by the government. During the fourth quarter of 2004 money supply (M2) increased by 33.1% year on year. Deposits in savings accounts were 36.4% higher year on year in December 2004, while current-account deposits were 20.9% higher. During the last quarter of 2004 private-sector deposits experienced a marked increase, led by purchases of inflation-adjusted instruments. Public-sector deposits more than doubled over the previous year's level, reflecting buoyant tax collection.

Foreign-exchange reserves and monetary aggregates, 2004-05
(end-period unless otherwise indicated)

	2004				2005
	Sep	Oct	Nov	Dec	Jan
International reserves (US$ bn)	18.2	18.6	18.9	19.6	20.1
Financial liabilities (Ps bn)	47.5	45.9	48.7	52.5	49.4
M1 (Ps bn)	59.2	59.1	61.0	66.3	65.0
Peso savings & time deposits (av; Ps bn)	62.1	72.4	73.9	74.4	76.3

Source: Banco Central de la República Argentine.

Lending to private sector up by one-quarter in 2004

Total credit increased by 10.2% year on year in 2004, taking the total stock of credit to Ps62bn. This is equivalent to 14.1% of GDP, much lower than the 26.9% of GDP recorded in 1998. The stock of peso-denominated loans to the private sector grew by 25.9%. Until October overall lending growth was driven by business lending, but from the fourth quarter consumer credit became the fastest-growing sector, as demand for credit increased ahead of Christmas and lenders reintroduced attractive credit card deals. Lending to firms fell in late

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2004, with firms' abundant liquidity reducing the need for current-account overdrafts, which fell by 15.6% in December. During September, November and December the stock of mortgage lending and other collateralised loans increased for the first time since the 2001 crisis. The stock of this type of loan ended the year 1% above its level in September.

Agriculture

2004/05 harvest expected to beat its predecessor

Real output in agriculture contracted by 3% year on year in January-September 2004, mainly because of a lower 2003-04 crop harvest. In 2004/05 the grain harvest is expected to reach a record 80m tonnes, 15.7% higher than in 2003/04.

An improvement in wheat yields in some areas has boosted production, compensating for the effects of the drought in other areas. With average yields of 2,649 kg/ha, total wheat output is estimated to have reached 16m tonnes, 9.9% higher than in 2003/04. The area sown with corn, a summer crop, has increased markedly, and output is forecast to rise by 26.7%, weather conditions permitting. Corn productivity is expected to attain a new record. Sorghum is expected to have experienced the largest output increase, of more than 30%.

Agricultural output
(area sown='000 ha; output='000 tonnes)

	Area sown				Output			
	2002/03	2003/04	2004/05[a]	% change[b]	2002/03	2003/04	2004/05[a]	% change[b]
Sunflower	2,378	1,835	1,931	5.2	3,714	3,100	3,500	12.9
Corn	3,084	2,988	3,414	14.3	15,040	15,000	19,000	26.7
Sorghum	593	545	649	19.1	2,685	2,160	2,800	29.6
Soybeans	12,607	14,500	14,200	-2.1	34,819	31,500	36,000	14.3
Wheat	6,300	6,040	6,245	3.4	12,301	14,560	16,000	9.9
Other	2,760	2,538	2,415	-4.8	2,142	2,837	n/a	n/a
Total	**27,722**	**28,378**	**28,854**	**1.4**	**70,700**	**69,157**	n/a	n/a

[a] Provisional. [b] 2003/04 on 2002/03.

Source: Secretaría de Agricultura, Ganadería, Pesca y Alimentación.

Soybean output forecast to rise

Despite an expected decline of around 2% in the area sown with soybeans in the 2004/05 campaign, owing to the fall in prices in the second half of 2004 the secretary of agriculture believes that output in 2004/05 may reach 36-38m tonnes, a 14-20% increase over the 2003/04 cycle. The US Department of Agriculture (USDA) forecasts total output in Argentina to reach 39m tonnes. Sunflower production is also expected to increase again in 2004/05, although it will remain below the average recorded over the last decade.

During the last quarter of 2004 wheat corn and soybean prices continued to decline. In the case of wheat, prices fell more markedly on the domestic market than in the international market because of excess domestic supply, lower purchases from Brazil and higher freight costs. Agricultural profitability has been squeezed by a combination of lower market prices and higher input costs, although it remains positive. The largest profit falls during 2004 were recorded in wheat and soybeans. By the fourth quarter of 2004 gross margins had shrunk by 62% for wheat and by 51% for soybeans compared with the first

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quarter. Although the profitability of both declined, the profitability of soybeans improved relative to wheat. Gross margins for corn closely followed those for soybeans.

Livestock production grows in 2004

During the fourth quarter of 2004 the livestock sector maintained the good performance recorded during the earlier part of the year, aided by the opening of new export markets and rising domestic demand for beef. Slaughterhouse activity increased by 13.3% in 2004, to an average of 1.18m head per month. The share of female animals going for slaughter remains relatively high, reaching 46.7% during the second half of the year and threatening future livestock-breeding capacity.

Despite a contraction in the fourth quarter, farmgate prices for beef increased in 2004, pushing up consumer prices. However, domestic consumption has not yet been affected. Beef consumption rose to 63.45 kg per head, a rise of 3 kg year on year. Despite this beef consumption per head is still 26 kg below the levels recorded in 1990, as consumers have moved away from red meat. Exports increased by 58% in volume terms and by 66% in value terms, with fresh beef accounting for a major share. Argentinian beef reached nearly 30 new markets, some of them genuinely new markets and others previously closed for phytosanitary reasons.

Dairy industry recovers

Dairy output increased in 2004, marking a break with the declining trend that began in 2000. Milk deliveries from dairy farms increased by 18% year on year in the first 11 months of the year, though it was still 10% below 2001 levels. Dairy export earnings increased by 85% year on year, as export volumes increased and products reached new export markets. The expansion has been basically concentrated in large dairy firms that export powdered milk, which have reached a high level of capacity utilisation.

The poultry sector also recovered, aided by strong growth in the domestic market and an improved export performance, the latter assisted by avian flu outbreaks in some competing export countries. Poultry processing activity rose by 22.3% in 2004. Total exports rose by 57% and the sector's prospects look favourable, reflecting increasing Chinese demand. In November the Chinese authorities authorised poultry imports from Argentina for the first time. In January-November China was already the third-largest destination for poultry exports, behind Chile and Germany. Chinese purchases have traditionally concentrated in products such as wings and feet.

Sectoral trends

Industrial output growth up in second half

Industrial output grew by 10.7% in 2004. According to INDEC's industrial activity index (Estimador Mensual Industrial, EMI), after a lull in the second quarter industrial output rose again in the second half of the year. During the fourth quarter seasonally adjusted industrial output increased by 2% quarter on quarter, compared with 2.3% in the third quarter. Industrial output has been growing quickly, but the pace of growth has slowed since the first quarter of

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2003. Even so, the growth rate recorded in the last quarter of 2004 was the highest ever recorded in the fourth quarter.

The performance of industry across sectors was also uneven. Automobile manufacturing was the fastest-growing sector, growing three times faster than overall industrial output, as domestic demand rebounded. Other rapidly growing sectors included editing and printing (which grew by 20.5%), non-metallic minerals (17.2%) and the metal-mechanics industry (13.1%). Output from the oil refining and basic metal industries remained stagnant, growing by 2.2% and 1.1% respectively. Capacity utilisation in both industries was running at over 90%, leaving little room for further output growth. The only industrial sector that recorded negative output growth was tobacco processing, as higher prices reduced domestic consumption.

The rapid recovery in industrial activity in 2004 led to increased demand for labour. The number of workers employed in industry, measured by the Índice de Obreros Ocupados (IOO) index that forms part of INDEC's monthly industrial survey, rose by 10.2%, the biggest annual rise recorded since 1970. However, in absolute terms industrial employment still remains below 2000 levels. Labour productivity grew by 9.4% in 2004 and is higher than it was before the devaluation. Productivity is 19% higher than in 1998, when industrial activity reached a peak, mainly because capacity utilisation has increased.

Unit labour costs in manufacturing industry have fallen compared with the pre-devaluation period, reflecting higher labour productivity and lower real wages. In the last quarter of 2004 nominal wages per worker deflated by the wholesale price index for manufactures (IPIM) were still 22% lower than in the quarter before the devaluation. However, as a result of government-decreed salary rises, in the fourth quarter the nominal wage per worker, deflated by the IPIM, rose by 6.6% compared with the preceding period.

Industrial profit margins continue to rise

The industrial cost index, the Índice de Costos Industriales (ICI), calculated by Universidad Argentina de la Empresa (UADE), has increased uninterruptedly since the last quarter of 2003. This is the result not only of higher nominal wages, but also of the increase in the prices of imported products and crude oil. Profit margins have nevertheless widened: in the year to the fourth quarter of 2004 prices increased slightly faster than costs (by 10.4%, compared with 9.8%).

The recovery of industrial profit margins will play a key role in encouraging new investment. Output growth has so far come largely from the more intensive use of installed capacity, but for output growth to continue, manufacturers will have to invest in new capacity. The textile industry is one area where firms have invested in new capacity, allowing increased production to be sustained. Industrial growth in recent months has been driven by a comparatively narrow range of sectors (such as motor vehicles, metal and engineering industries, and non-metallic minerals). In other sectors output growth has slowed, owing to the emergence of bottlenecks and the absence of new investments. This may slow the recovery in the short term. For example, there has been little investment in the basic metal industries, which are running close to full capacity. During the first eight months of 2004 the manufacturing sector's spending on imports of capital goods increased by 144.8% year on year.

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A sustained increase of investment will depend on a restoration of credit and a gradual deepening of the capital market. At present, lending is limited mostly to the provision of working capital.

Monthly index of industrial output, 2004
(% change, year on year)

	Jan-Dec	Dec
Food & drink	6.8	5.3
Tobacco products	-7.9	-16.4
Textiles	7.0	7.2
Paper & cardboard	11.3	16.9
Petroleum refining	2.2	5.3
Chemical products	11.0	9.5
Rubber & plastics	10.8	8.3
Non-metallic minerals	17.2	15.2
Base metals	1.1	6.8
Cars	53.3	66.9
Metal-mechanics excl cars	13.1	3.5
Total	**10.7**	**9.6**

Source: Instituto Nacional de Estadísticas y Censos.

Energy

Energy sector output growth slows

During the third quarter of 2004 real output growth in the electricity, gas and water sectors continued to slow, growing by a modest 2.7% year on year. Although all goods-producing sectors (except agriculture) experienced a slowdown in real output growth during the third quarter, in the electricity, gas and water sectors the deceleration was more marked.

The performance of electricity generation closely followed the evolution of demand, falling after June as a result of the implementation of the Rational Energy Use Plan, which rewarded customers in the Buenos Aires metropolitan area who reined in energy use with lower bills. Towards the end of the year energy demand increased again, pushed by seasonal factors. For the year as a whole electricity demand increased by 6.7%, which was 1.1 percentage points lower than the increase in electricity generation. Electricity consumption increased markedly in 2003, driven by the economic recovery and low electricity prices. The rate of growth slowed during 2004, as the government introduced energy-saving measures.

Electricity demand and supply are finely balanced. Effective generating capacity is 22,979 mw, sufficient to meet demand in November-March. However, there could be a shortfall in electricity supply during the winter months, and in the medium and long term an increase in generation and transportation capacity is badly needed. Peak demand is around 15,000 mw, but at any given time some capacity is out of action for maintenance.

Transmission network to receive new investment

Transmission capacity is also insufficient to supply power to where it is most needed, leaving some areas with surplus current and others with a potential shortfall in supply. The transmission network has suffered from under-investment, and there is a serious shortfall in capacity. This has led to a

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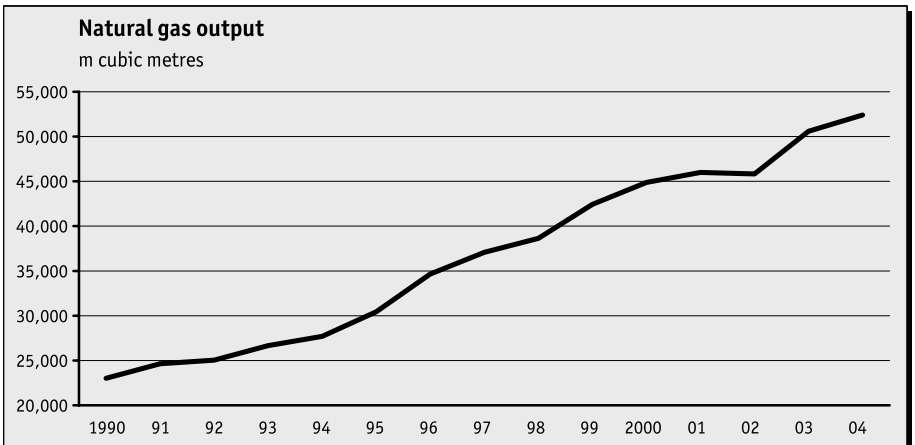
deterioration in the service, particularly at times of high consumption such as the summer season, translating into low voltage or saturation of transmission lines and transformers, particularly in the province of Buenos Aires, the west and the northwest. To overcome these constraints, there are plans to lay new high-voltage transmission lines. Distribution to end-users is also a problem, since the freeze on electricity tariffs has affected the finances of electricity distributors and led to a sharp fall in new investments. In some areas distribution lines are saturated, leading to electricity cuts.

Government seeks to ensure gas supply

During 2004 natural gas output increased by 3.4% to 52.4bn cu metres. The demand for natural gas has increased as a result of its low relative price and the economic recovery. To cope with rising demand in a context of falling reserves, the authorities have implemented a number of measures targeted at increasing gas production and transport capacity. More natural gas will be imported from Bolivia via a new pipeline, the Gasoducto Norte Argentina (GAN), which should be completed be early 2007. The existing trunk natural gas pipelines operated by Transportadora de Gas del Norte (TGN) and Transportadora de Gas del Sur (TGS) are also due to be expanded, although the signing of contracts for this work has been delayed. As a result, the work is unlikely to be completed by the target date of July, when the seasonal demand for natural gas tends to increase. If there is a renewed shortage of energy in 2005, natural gas exports to Chile will continue to be restricted, and the fuel oil import agreements signed with Venezuela in 2004 (which covered the import of 8m tonnes of fuel oil between May and October 2004) will have to be renewed. The Rational Energy Use Plan may have to be implemented nationwide, instead of only in the Buenos Aires metropolitan area.



Source: Instituto Nacional de Estadísticas y Censo (INDEC).

Oil output falls in 2004

During 2004 petroleum output fell by 5.7% year on year to 40.6m cu metres (or 775,000 barrels/day). Petroleum output has been falling since 1999 as a result of plummeting investment in exploration and production. Petroleum export volumes fell by 24.7% year on year. Although world prices rose, government export taxes discouraged exports as intended.

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Petroleum refining, by contrast, grew by 2.2%. The capacity utilisation rate reached almost 88.9% on average during 2004, one of the highest ratios in manufacturing. The refining industry stepped up output of asphalt to meet demand from public works, and of premium gasoline and fuel oil used to generate electricity. To deal with supply constraints in some regions of the country, in December the authorities tightened regulations on fuel retailers to ensure that the market was being supplied.

Primary production
(% real change, year on year)

	2003 Year	2004 1 Qtr	2 Qtr	3 Qtr
Mining	3.7	2.7	-2.4	-2.6
Manufacturing	16.0	15.8	13.8	9.5
Electricity, gas & water	6.9	9.3	8.2	2.7
Construction	34.4	41.4	32.6	26.1

Source: Ministerio de Economía.

Construction

Construction growth slows

The construction activity index (Indicador Sintético de la Actividad de la Construcción, or ISAC) compiled by INDEC posted 19.9% growth in 2004, half the rate recorded in 2003. This took real construction activity back to the levels of 2000. Construction growth picked up in the fourth quarter compared with the second and third quarters. The ISAC posted seasonally adjusted quarter-on-quarter growth of 4.2%.

The fastest-growing area of construction has been road construction, where activity increased by 22.3% year on year during the fourth quarter, as ground was broken on delayed public works programmes. The sale of materials used in such projects grew more quickly than overall sales of construction inputs. Other infrastructure building and petroleum-related construction also grew strongly. Construction activity in the oil and gas industry reached a new record, as work continued on pipeline projects.

Residential construction to benefit from federal funds

Growth in residential construction slowed markedly during 2004, but the sector will benefit from the implementation of the Federal Housing Plan. As part of the plan, the federal government has already signed contracts with 13 provincial districts to build low-cost housing for a total of Ps804m in 2005. Commercial and industrial construction is also growing, driven by the construction of supermarkets, shopping centres and industrial plants.

Costs of construction rose during 2004. By December 2004 the official construction cost index (Índice de Costos de la Construcción, or ICC) compiled by INDEC, which measures local currency prices, reached a level 72.7% higher than in the last quarter of 2001. Higher input prices accounted for much of the rise, but in recent months rising labour costs also played a part. During January 2005 total construction costs increased by 2.8% month on month, a rate equal to the rise for the entire second half of 2004.

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The number of private construction permits issued, an indicator of future construction trends, increased almost continuously during 2004. In the fourth quarter the number of construction permits was 13.2% higher year on year, pointing towards a continued increase in residential construction in 2005. Surveys conducted by INDEC indicate similar trends in the public works sector. Of the firms interviewed, 80% expected an increase in activity during the first quarter of 2005, and 95% of them were currently engaged in public works programmes. The federal Public Works National Plan is developing construction projects worth a total of Ps5.2bn. Projects worth a further Ps8.1bn are in the pipeline, suggesting that construction will continue to grow over the forecast period.

Special focus on the footwear industry

Mass production of footwear was established in Argentina at the beginning of the 20th century, but its performance in world markets has been disappointing. Argentina is not among the major world producers and exporters of footwear, despite its abundance of low-price, high-quality hides.

The low-quality end of the world footwear market is concentrated in China, India, Indonesia and Brazil, while high-quality production is dominated by Italy, Portugal and Spain. At the low end of the market producers tend to seek out locations with the cheapest labour. In this respect, Argentina has traditionally been at a disadvantage. Quality and design are the driving forces in the high-end of the market. Argentina has long supplied high-quality hides to footwear manufacturers in Italy and Spain, but domestic producers have failed to secure a market niche for finished products. Moreover, imports have been a constant threat to domestic producers.

Except for producers of high-quality sports footwear, the industry is dominated by small and medium-sized firms. The footwear industry comprises 750 manufacturing plants employing 26,000 workers, plus an estimated 14,000 indirect jobs. The scale of production is low by international standards, but capital equipment is relatively modern. Under pressure from foreign competition the industry adopted more modern technology during the 1990s.

Recent trends

In the 1990s the industry suffered from the effects of rapid trade liberalisation, later compounded by the implementation of a free-trade area within the Mercado Común del Sur (Mercosur, the southern cone customs union), which opened the local market to competition from Brazil. The appreciation of the real exchange rate and the protracted recession starting in 1998 dealt further blows.

Between 1991 and 2001 real output in the sector contracted by 60%. Export volumes fell by 88%, while imports rose by 183%, taking the share of foreign products in the domestic market from 9% in 1991 to 41% in 2001. The sectoral trade deficit widened markedly. Apart from the effects of lower output volumes, the industry suffered from shrinking profit margins. This effect was more marked after 1997, when deflation set in. The combination of falling prices and rising real wages (adjusted for productivity) severely reduced profit margins.

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Responses to the crisis

The January 2002 devaluation of the peso shifted relative prices in favour of domestic producers. Import substitution and higher exports stimulated an increase in output. In 2002 output increased by 44%, while imports contracted severely amid the recession.

Despite the increase in footwear output since 2002, real production is still below its 1990s peak. In 2003 total footwear production reached 50.2m pairs, 9% higher than in 2002 but 17% below the average recorded in the second half of the 1990s. The devaluation of the peso in 2002 led imports to contract sharply, taking the ratio of imports to apparent consumption to 7% (down from 41% in the previous year). Imports recovered again in 2003, to take the ratio of imports to apparent consumption to 21% (a level similar to that recorded in the mid-1990s).

The devaluation of the peso encouraged a recovery of exports. Export volumes increased by 68% in 2002, stimulated by a 40% contraction in dollar prices. This increase halted the trend of falling exports, which had held since 1998. Exports rose again in 2003 to 1.2m pairs, close to 1999 levels but still 74% below the peak recorded in 1995. The increase in exports, however, was more the result of foreign importers taking advantage of low US dollar prices than of a proactive policy of market penetration on the part of local producers.

The rapid output increase was enabled by pressing ample idle capacity into service. By the end of 2004 there was little spare capacity. New investments will be required in order to increase production on a sustainable basis.

The improvement in relative prices has not eliminated some of the structural problems faced by the footwear industry. Sub-optimal plant size remains a major problem, especially for mid-priced shoes, where price considerations are more relevant than in the high end of the market. The hides and footwear firms remain poorly integrated. Market power is unevenly distributed among hide producers (who are very concentrated and heavily oriented towards the export market) and footwear manufacturers (mainly small and medium-sized firms). While the devaluation of the peso encouraged the substitution of domestically produced parts for imported ones, the erosion of the industrial base during the 1990s has left few reliable input suppliers. Consequently, it will take some time before the required learning and co-ordination process takes place. Business practices are outdated: firms do little market research before designing collections, and exports are basically reactive to foreign demand, rather than reflecting proactive export strategies. Firms' behaviour may gradually change, provided the right conditions prevail.

Trade policy and Brazilian industry

Before trade liberalisation and the introduction of Mercosur, the footwear industry was heavily protected. Average import tariffs for the footwear industry fell from 53% in 1988 to 22% by 1991. The reduction in tariffs, combined with the rapid recovery in domestic demand following the implementation of the currency board in 1991, doubled the volume of imports in 1992 and led to demands for protection. Starting in 1993, the authorities implemented various protectionist measures. These included the enforcement of minimum specific tariff surcharges on footwear imports (for

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non-Mercosur suppliers) and safeguards. These measures were challenged in the World Trade Organisation (WTO) and eventually had to be eliminated.

The common external tariff (CET) for footwear was set at 20% in 1995, the same level as the pre-existing Argentinian nominal tariff. However, Argentina included some footwear items among its exceptions to the CET, thereby allowing it to levy higher tariffs on some items for a transitional period. As far as intra-Mercosur trade was concerned, Argentina included the footwear sector among the transitory exceptions to the Trade Liberalisation Programme launched in 1991. In 1995 the sector was included in the *régimen de adecuación final*, a special regime for sensitive products, tariffs on which were scheduled to be removed by 1999. In 1999 the applied tariff rate on imports from Mercosur (Brazil) fell to zero and the Real devalued, stimulating imports from Argentina's neighbour, which peaked at 21m pairs in 2001 (U$S138.2m).

Spending on footwear imports from Brazil increased rapidly during the 1990s, recording an average annual growth rate of 39% between 1993 and 2001, compared with 5% growth for total imports. This raised the share of imports from Brazil in total footwear imports from 7% in 1993 to 71% in 2001. The devaluation of the peso in 2002 caused imports from Brazil to fall sharply, but only temporarily. They recovered in 2003, as domestic demand in Argentina rebounded. Domestic footwear manufacturers lobbied the authorities for a bilateral voluntary export restraint programme, limiting imports from Brazil to a total of 13m pairs in 2004. The agreement ended in December 2004, and the authorities continue to examine alternatives to cope with Brazilian competition.

The footwear industry remains one of the most protected sectors in Argentina. In December 2001 the effective protection rate reached 72.8%, the fourth-highest after edible oils, motor vehicles and poultry.

Prospects

The devaluation of the peso has created a new environment for the footwear industry, reversing the falling output and export trend prevalent in the 1990s. Argentinian firms have the opportunity to compete more effectively in the domestic market and gain market share abroad. Argentinian footwear exporters are likely to concentrate on the mid to high end of the market, where economies of scale and labour costs are less relevant. Despite the reduction in dollar labour costs caused by the devaluation of the peso, Argentina is unlikely to be able to compete successfully with China or Brazil.

In the short and medium term Argentina's footwear industry will need a favourable real exchange rate, mergers and acquisitions of smaller firms to ensure an increase in the average plant size, and a recovery in investment to expand capacity. Brazil, one of the main footwear exporters in the world market and with duty-free access to the local market, will remain a competitive threat. Voluntary export restraint agreements may protect Argentina's manufacturers in the short term, but they are unlikely to be useful over the medium term. The best option open for the Argentinian footwear industry is to specialise in the high- and medium-price brackets. This will require technical innovation, further integration between the suppliers in the sector, and help with export promotion.

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Foreign trade and payments

Share of foreign trade increases

During 2004 export earnings and the import bill both grew at double-digit rates. The share of foreign trade (exports and imports as measured in the national accounts) in nominal GDP rose to 38%, the highest since the new national accounts were released in 1993. In the first three quarters of 2004 the share of foreign trade in GDP averaged 42.8%, compared with 21.7% in 2001 (when US dollar GDP was much higher). In 2004 import volumes continued to grow at a much faster rate than exports, recovering from the sharp contraction experienced during the crisis. Rapid import growth reduced the foreign trade surplus to US$13.3bn. During 2004 total exports increased by 16.5%, the highest rate in nine years, to US$34.4bn. Imports increased from a very low base, to US$21.1bn.

Export volumes increased by 6.6% in 2004, while export prices rose by 9.3%. Whereas in the first half the increase in exports was almost entirely accounted for by higher export prices (with volumes remaining flat), in the second half most of the increase was accounted for by greater volumes. In July-December export volumes increased by 45%, while prices rose by a more modest 6%. Agricultural exporters had delayed some export shipments in the hope of higher prices in the second half, leading to higher volumes. In the event, agricultural export prices contracted by 5.6% year on year. Manufacturing export volumes also increased in the second half.

External trade, 2004
(US$ bn unless otherwise indicated)

	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Merchandise exports fob	2.9	3.0	2.9	3.0	2.8	3.0	3.0
% change, year on year	1.9	6.1	25.1	25.3	16.5	24.3	20.8
Merchandise imports cif	2.0	2.0	2.0	2.0	2.0	2.2	2.1
% change, year on year	77.5	55.4	78.0	52.7	36.0	64.5	38.9
Trade balance	**0.9**	**1.1**	**0.9**	**1.0**	**0.9**	**0.8**	**0.9**

Source: Ministerio de Economía.

Industrial exports post strong growth

Industrial manufactures (Manufacturas de Origen Industrial, MOI) was the fastest-growing category of export earnings during 2004, increasing by 23.6% year on year. The recovery of industrial exports to Brazil played a major part. Agricultural manufacturing exports (Manufacturas de Origen Agropecuario, MOA) increased by 19.4%, but the rate of growth slowed during the second half of the year. The most dynamic agricultural manufacturing export sectors were the dairy and beef industries, helped by the opening of new markets. The 14% increase in oil and energy exports was wholly accounted for by higher prices; volumes contracted by 10%, as supplies were diverted to meet strong domestic energy demand. Exports of primary products performed poorly, dragged down by an 8% fall in oilseeds exports. In constant prices, during 2004 manufactures accounted for the highest share in Argentinian total exports since 1993. Agricultural and industrial manufactures accounted for 70% of total exports, 7 percentage points higher than before the devaluation in January 2002.

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Import growth moderates, but remains high

Growth in the import bill moderated throughout the year, from 85.4% year on year in the first quarter to 46% in the fourth. Given that prices increased by a modest 7.7%, this reflected an increase in volumes. During 2004 the net gain resulting from variations in the terms of trade (the combined effect of changes in the price of exports and imports) reached US$1.5bn.

One-third of the 61.4% increase in total imports was accounted for by higher purchases of capital goods. Capital goods imports have been growing rapidly, recovering from the sharp contraction experienced in 2002. However, they are still 37% below the level recorded in 1998. Not all capital goods imports represent purchases of productive capital equipment. The category includes items such as cellular phones, washing machines and air-conditioning that are not directly productivity-enhancing. Imports of intermediate goods grew by 37.8%, led by the agricultural and metal-working sectors. Imports of consumer goods increased more modestly, accelerating towards the end of the year on the strength of higher household consumption, but they still remained well below the levels reached before the devaluation. The import bill for fuels and energy increased by 83% to reach the highest value since 2000. This partly reflected both the step-up in energy import volumes to deal with the energy crisis in mid-2004, and higher energy prices.

Major exports and imports

(US$ m unless otherwise indicated; Jan-Dec)

	2003	2004	% change, year on year
Exports fob	**29,566**	**34,453**	**16.5**
Primary products	6,460	6,828	5.7
Manufactures	17,694	21,454	21.3
Agricultural origin	9,991	11,932	19.4
Industrial origin	7,703	9,522	23.6
Oil & fuel	5,412	6,171	14.0
Imports cif	**13,833**	**22,320**	**61.4**
Capital goods	2,517	5,378	113.7
Intermediate goods	6,264	8,630	37.8
Oil & fuel	548	1,003	83.0
Capital goods parts & accessories	2,227	3,599	61.6
Consumer goods	1,756	2,501	42.4
Vehicles	509	1,197	135.2
Other	13	14	7.7
Trade balance	**15,733**	**12,133**	**-22.9**

Source: Instituto Nacional de Estadística y Censos.

Argentina has recorded consistent trade surpluses since 2000, but exports have not taken off since the devaluation. Between 1999, the year when the Brazilian Real was devalued, and 2001 the ratio of Brazilian to Argentinian total exports widened significantly, from 2:1 to 2.3:1. In 2004, despite the pick-up in export growth, the ratio widened to 2.8:1, confirming that the performance of Argentinian exports is lagging behind that of its neighbour and partner in the Mercado Común del Sur (Mercosur, the southern cone customs union). The massive shift in external balances caused by the depreciation has been achieved largely by import compression rather than by export growth. The

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response of exports to the devaluation has been less vigorous than expected, although there are some indications that a faster expansion may be on the way.

The current-account surplus contracts

The current-account surplus contracted in the third quarter of 2004 for the fifth consecutive quarter. The trade surplus narrowed, and the economic recovery led to an increase in profit remittances. The surplus on the capital and financial account fell, as the government made repayments to international financial institutions following the suspension of the agreement with the IMF. During the third quarter the non-financial private sector recorded net capital outflows of US$68m, after posting a positive balance in the previous quarter.

The current-account surplus recorded in January-September contracted by 60% year on year to 1.7% of full-year GDP, 5.2 percentage points lower than in the previous year. Despite this contraction, the current-account surplus is still at a comparatively high level by historical standards.

Since the first quarter of 2004 the financial account has recorded net capital inflows, in contrast to the net outflows recorded since the beginning of the crisis. The private non-financial sector recorded net outflows, but these were 91.6% lower in the first nine months of 2004 than in the same period in 2003. Financial sector net outflows also decreased. The non-financial public sector experienced a net inflow, despite the outflows recorded during the third quarter as a result of the suspension of the agreement with the IMF in July (the government had to pay amortisations of capital without receiving new disbursements from the IMF). However, most of the net capital inflow into the non-financial public sector was involuntary lending by private creditors holding defaulted bonds.

Foreign direct investment rises

Net foreign direct investment increased to US$3.2bn in the first nine months of 2004, mostly on the strength of reinvested profits and new capital injections from foreign parent companies. New capital injections by parent firms accounted for 40% of total inflows and were mostly aimed at strengthening the capital base of subsidiaries, rather than expanding capacity or launching new projects. After being the main component of FDI inflows during 1992-2000, crossborder acquisitions have lost momentum.

In the first nine months of 2004 the stock of international reserves increased by 40%. By the end of the year international reserves had reached US$19.6bn, the highest level in three years. International reserves continued to grow in early 2005. As part of its portfolio management policy, during 2004 the monetary authorities increased the share of gold in total international reserves from less than 1% (a ratio maintained since 1997) to nearly 4% by the end of September.

Arrears and valuation effects push up external debt stock

The total stock of foreign debt reached US$167.2bn at the end of September 2004, according to the Ministry of the Economy, 1% higher than in June. This rise was mainly accounted for by a 2.3% increase in public-sector liabilities, caused by a combination of valuation effects (the depreciation of the US dollar increasing the size of non-dollar-denominated debt) and the accumulation of interest arrears on the external debt in default. Private-sector liabilities continued to contract as a result of net debt amortisation and debt rescheduling

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agreements, which included some debt reduction. Among the largest deals concluded in 2004, the supermarket chain, Coto, refinanced debts of US$200m, the dairy producer, Mastellone, refinanced US$330m, and in April 98.6% of creditors of Banco Galicia agreed to swap debts of US$1.3bn for two new, longer-dated bonds of equivalent face value. Foreign high-yield investors have demonstrated considerable interest in restructured corporate debt, much of it denominated in US dollars. At the end of September the total net external debt of the non-financial private sector reached US$48.9bn, again according to local sources, while that of the financial sector was US$7.6bn.

Balance of payments
(US$ m; Jan-Sep)

	2003	2004	% change
Exports fob	22,230	25,610	15.2
Imports fob	-9,047	-15,253	-68.6
Trade balance	**13,183**	**10,358**	**-21.4**
Non-factor services (net)	-1,283	-1,557	21.4
Factor services (net)	-5,974	-6,718	12.5
Unilateral transfers	442	495	12.0
Current-account balance	**6,353**	**2,559**	**-59.7**
Banking sector	-1,856	-2,083	12.2
Banco Central de la República Argentina	-347	-1,127	224.8
Other financial institutions	-1,509	-956	-36.6
Non-financial public sector	3,642	3,652	0.3
Non-financial private sector	-3,929	-329	-91.6
Other	68	43	-36.8
Capital-account balance	**-2,075**	**1,283**	**-161.8**
Errors & omissions[a]	-1,317	328	-124.9
Change in international reserves	2,962	4,172	40.9

[a] Includes capital movements unclassified by resident sector.

Source: Ministerio de Economía.

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